The Impact Frontier

PRELIMINARY DRAFT

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ABSTRACT

Asset pricing usually takes firms' demand for capital as given, while corporate finance does the same for investors' supply of capital. In a unified model, what real effects can investor portfolio tilts have on climate- and nature-related externalities over multi-year horizons? This paper develops such an equilibrium model and constructs the Impact Frontier: the Pareto frontier between certainty-equivalent returns and the expected effect on an externality. Portfolios on the impact frontier are obtained by allocating to an impact-tilt portfolio defined by additionality-adjusted externality scores—raw scores (illustrated by ESG ratings) multiplied by a matrix derived from demand- and supply-side elasticities. Calibrated to U.S. equity data, the impact frontier differs materially from the ESG-efficient frontier; portfolios based only on raw scores can lie far below the frontier and even yield negative expected impact.

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